Simulation Arena

# Competitor Pricing: The Virtual War Room

**Defensible niche earns the most profit: $191.04M over 8 quarters. Matching every cut earns $104.12M, $86.92M less than Defensible niche.**

Seed 42 | Run run_55313e002c1d | 8,448 scenarios tested | Agent-based market simulation (virtual… | 21 Sep 2026, 23:40

Same seed, same numbers - this run can be reproduced exactly.

## How this works

We built a virtual market out of your accounts. Each buyer has a budget, a price sensitivity and a supplier they use today. Every quarter the rivals set a price, you answer with one of three strategies, and each buyer picks a supplier - the cheapest offer usually wins, but habit, the hassle of switching and a priority-support promise all count. We then played all 2 years out 100 times for each strategy, so every number below is an average across 100 different versions of the future, with the likely range shown around it. We then ranked the three strategies on the measure you chose and re-ran the market at a range of rival undercuts to see how far the answer travels before it changes.

## The numbers that matter

BEST CALL ON THESE NUMBERS
**Defensible niche**
It scores best on profit across 100 versions of the next 8 quarters.
vs $49.31M more than Hold the line

PROFIT IF YOU MATCH EVERY CUT
**$104.12M**
$86.92M less profit over 8 quarters than Defensible niche.
vs -19.9% price vs today, 43.7% of accounts served

PROFIT IF YOU DEFEND A NICHE
**$191.04M**
The best of the three on profit: $49.31M more than Hold the line.
vs -0.9% price vs today, 28.2% of accounts served

PROFIT IF YOU HOLD THE LINE
**$141.73M**
$49.31M less profit over 8 quarters than Defensible niche.
vs +0.0% price vs today, 18.7% of accounts served

TOP-TIER ACCOUNTS YOU KEEP
**90.1%**
Of the top accounts you serve today, this many are still yours at the end under the best call.
vs target 88.0%

ACCOUNTS LOST TO RIVALS
**345**
Accounts that walked to a competitor across 100 versions of the two years under the best call.
vs 236 if you match everything

BREAK-EVEN RIVAL UNDERCUT
**none in 0-40%**
Not found between 0% and 40% - the recommendation does not change anywhere in that range.

HOW FAR THE RIVAL CAN MOVE BEFORE THE ANSWER CHANGES
**0%-40% undercut**
Defensible niche stays the best call everywhere we tested, from 0% to 40% undercut. Only the rival's undercut is moved here; everything else stays as you set it.

## How we got there

### 1. The market we built

We put 500 buyers in a room with you and two rivals. They are not all alike: the most profitable accounts barely react to price, while the cheapest ones chase it hard. Today you serve 43.2% of them.

Evidence: $683.31M of annual spend in play

### 2. What 'Match every cut' does

Answer every rival cut on every account, immediately. Over 8 quarters it leaves your average price -19.9% versus today, serves 43.7% of the accounts, keeps 91.7% of the top tier and banks $104.12M of profit - ranked 3 of 3 on profit.

Evidence: $104.12M of profit over 8 quarters

### 3. What 'Defensible niche' does

Hold list price, bundle priority support on the accounts worth keeping, and match only where the account commits multi-year. Over 8 quarters it leaves your average price -0.9% versus today, serves 28.2% of the accounts, keeps 90.1% of the top tier and banks $191.04M of profit - the best call on profit.

Evidence: $191.04M of profit over 8 quarters

### 4. What 'Hold the line' does

Do nothing. Keep list price everywhere and let the chips fall. Over 8 quarters it leaves your average price +0.0% versus today, serves 18.7% of the accounts, keeps 71.3% of the top tier and banks $141.73M of profit - ranked 2 of 3 on profit.

Evidence: $141.73M of profit over 8 quarters

### 5. The trade in plain numbers

Matching every cut wins +15.5 points of account share against the best call, and $86.92M less profit over 8 quarters. That is $5.61M of profit for every extra point of share.

Evidence: +15.5 points of share for $86.92M less

### 6. The bottom line

Do not match every cut. Defensible niche banks $191.04M of profit over 8 quarters, and matching every cut gives up $86.92M of it. Defend the accounts worth keeping and let the price-chasers go.

Evidence: $191.04M for Defensible niche vs $104.12M for matching

## Charts

### What happens to your price

Average across 100 versions of the future; the shaded pair is the likely range




*What this shows: Each line is the average price you charge each quarter under one strategy. The band is the range of outcomes across the versions we played for the best call. A line that ends lower means more of a discount was given away.*

### What happens to profit

Profit per quarter, after the cost to serve and overheads




*What this shows: Profit per quarter under each strategy. The line that ends highest is the one that earns the most; which line that is comes from the simulation, not from a rule of thumb.*

### The scoreboard

The three strategies side by side




*What this shows: Four measures, three strategies, all on one axis so the bars can be compared within each group. Price is a change versus today, top accounts kept and accounts served are percentages, and profit over the whole period is in millions.*

## Tables

### The three strategies compared

Every figure is an average of 100 simulated versions of the next 8 quarters. Ranked on profit.

| Strategy | Price vs today | Revenue (2 yrs) | Profit (2 yrs) | Profit margin | Top-tier kept | Accounts served | Moves to a rival | Verdict |
|---|---|---|---|---|---|---|---|---|
| Match every cut | -19.9% | $544.77M | $104.12M | 26.2% | 91.7% | 43.7% | 236 | Not recommended - $86.92M less profit over 8 quarters |
| Defensible niche | -0.9% | $604.78M | $191.04M | 37.9% | 90.1% | 28.2% | 345 | Recommended |

| Strategy | Price vs today | Revenue (2 yrs) | Profit (2 yrs) | Profit margin | Top-tier kept | Accounts served | Moves to a rival | Verdict |
|---|---|---|---|---|---|---|---|---|
| Hold the line | +0.0% | $427.85M | $141.73M | 40.1% | 71.3% | 18.7% | 403 | Not recommended - $49.31M less profit over 8 quarters |

Row 2 is the best call on profit.

### What happens to each tier under the best call (Defensible niche)

Where you defend, where you let go, and what each tier earns you.

| Tier | Accounts | Yours today | Yours after 2 yrs | Kept (of yours today) | Won from rivals | Revenue (2 yrs) | Profit (2 yrs) | Support cost per account | Call |
|---|---|---|---|---|---|---|---|---|---|
| Tier-1 | 107 | 60 | 59 | 90% | 5 | $408.78M | $146.47M | $375k | Defend |
| Tier-2 | 202 | 94 | 74 | 71% | 7 | $160.05M | $44.33M | $76k | Defend |
| Tier-3 | 191 | 62 | 8 | 12% | 0 | $5.54M | $925k | $14k | Let go |

Profit is after the cost to serve that account.

### Quarter by quarter - best call (Defensible niche)

Your price, the rival's price, and what that earns.

| Quarter | Your price | Rival price | Accounts served | Revenue | Profit |
|---|---|---|---|---|---|
| Q1 | $99,666 | $94,000 | 39.0% | $84.52M | $26.57M |
| Q2 | $99,394 | $90,853 | 33.8% | $79.31M | $25.01M |
| Q3 | $99,226 | $89,160 | 31.2% | $76.38M | $24.13M |
| Q4 | $99,151 | $88,239 | 29.6% | $74.16M | $23.47M |
| Q5 | $99,099 | $87,746 | 28.9% | $73.33M | $23.21M |
| Q6 | $99,093 | $87,477 | 28.5% | $72.46M | $22.92M |
| Q7 | $99,021 | $87,339 | 28.4% | $72.82M | $23.03M |
| Q8 | $99,065 | $87,239 | 28.2% | $71.79M | $22.71M |

### How far the rival's undercut can move before the answer changes

A one-factor test: only the rival's undercut moves, 12 versions of the future at each point. The row for today's undercut is highlighted.

| Rival undercut | Match every cut | Defensible niche | Hold the line | Best call | Still the recommendation? |
|---|---|---|---|---|---|
| 0% | $211.22M | $244.44M | $208.44M | Defensible niche | Yes |
| 2% | $181.75M | $237.35M | $201.26M | Defensible niche | Yes |
| 4% | $152.97M | $227.69M | $192.21M | Defensible niche | Yes |
| 6% | $130.18M | $218.46M | $179.55M | Defensible niche | Yes |
| 8% | $117.20M | $210.59M | $168.30M | Defensible niche | Yes |
| 10% | $108.60M | $201.69M | $156.89M | Defensible niche | Yes |
| 12% | $103.51M | $192.91M | $142.48M | Defensible niche | Yes |
| 14% | $99.54M | $178.47M | $127.56M | Defensible niche | Yes |
| 16% | $98.42M | $167.80M | $115.74M | Defensible niche | Yes |
| 18% | $96.61M | $155.21M | $103.72M | Defensible niche | Yes |
| 20% | $95.33M | $151.73M | $92.58M | Defensible niche | Yes |
| 22% | $95.98M | $153.26M | $91.33M | Defensible niche | Yes |
| 24% | $94.20M | $151.00M | $92.11M | Defensible niche | Yes |
| 26% | $94.13M | $152.28M | $91.38M | Defensible niche | Yes |
| 28% | $95.57M | $151.23M | $93.25M | Defensible niche | Yes |
| 30% | $95.18M | $151.58M | $92.83M | Defensible niche | Yes |

| Rival undercut | Match every cut | Defensible niche | Hold the line | Best call | Still the recommendation? |
|---|---|---|---|---|---|
| 32% | $94.56M | $152.53M | $92.58M | Defensible niche | Yes |
| 34% | $95.31M | $151.09M | $91.44M | Defensible niche | Yes |
| 36% | $94.59M | $150.28M | $92.46M | Defensible niche | Yes |
| 38% | $95.65M | $151.93M | $92.48M | Defensible niche | Yes |
| 40% | $95.68M | $150.95M | $90.55M | Defensible niche | Yes |

Not found between 0% and 40% - the recommendation does not change anywhere in that range.

## What we recommend

**Do not authorise blanket price matching. Match only where the account commits multi-year, and bundle priority support instead.**

**Risk Low** 25 out of 100 | Confidence: High

### Why

• Defensible niche scores best on profit: $191.04M over 8 quarters, against $104.12M for matching every cut.

• Matching every cut leaves your average price -19.9% versus today and serves 43.7% of the accounts; Defensible niche serves 28.2% at -0.9%.

• Not found between 0% and 40% - the recommendation does not change anywhere in that range.

### What to do

**1.** Decline blanket price matching. Tell sales the answer is no by default.

**2.** Authorise a matched price only where the account signs a multi-year commitment and the deal still clears 12.0% margin.

**3.** Bundle priority support on the top two tiers instead of cutting price.

**4.** Let the cheapest, most price-sensitive accounts go, and redeploy the support cost that frees up.

**5.** Re-check monthly: the answer held everywhere from 0% to 40% undercut.

**The trade-off:** You are choosing $191.04M of profit with Defensible niche over $104.12M with matching every cut - a difference of $86.92M.

## What we assumed and what to watch

### Assumptions

• 500 accounts from your file; each buyer keeps buying the same volume each quarter.

• List price $100,000 per unit; margin 29.9% on average, so cost is 70.1% of list.

• Rivals undercut your previous average price by 12.0% and close 50% of the gap each quarter, down to a floor of 20.0% off list.

• Buyers weigh price about ten times more heavily than habit; a 6.0% priority-support promise counts like a discount of half that size, and costs 1.5% of margin.

• 40% of top-tier accounts are willing to commit multi-year (60% of that rate in the mid tier).

• Overheads of $5.00M a year are charged against profit.

• The recommendation maximises profit; change it and the answer may change with it.

• Robustness check: the rival's undercut alone moves, from 0% to 40% in 2-point steps, with 12 versions of the future at each point. Every other assumption is held where it is today.

• 100 independent versions of 8 quarters per strategy; seed 42 (re-running gives identical numbers).

• Columns read from your file: Account / customer ID, Account tier / segment, Annual spend with you, Price sensitivity (0-1), Who supplies them today, Margin on the account (%), Annual cost to support them.

• Account / customer ID -> your 'account_id' column

• Account tier / segment -> your 'tier' column

• Annual spend with you -> your 'annual_volume' column

• Price sensitivity (0-1) -> your 'price_sensitivity' column

• Who supplies them today -> your 'current_supplier' column

• Margin on the account (%) -> your 'margin_pct' column

• Annual cost to support them -> your 'annual_support_cost' column

## Appendix: the last steps of the run

Every line was produced while the model ran. Re-running with the same seed replays it exactly.

| Time | Stage | What happened |
|---|---|---|
| 0.00s | prepare | Margin on the account (%) -> your 'margin_pct' column |
| 0.00s | prepare | Annual cost to support them -> your 'annual_support_cost' column |
| 0.01s | prepare | Read 500 records into the model. |
| 0.01s | simulate | Running the simulation… |
| 0.01s | read | Reading the account book... |
| 0.01s | prepare | Built the market from 500 accounts from your file. |
| 0.01s | prepare | Three suppliers are in the room: you, Competitor A and Competitor B. |
| 0.04s | simulate | Running the war room... 10% of the worlds simulated |
| 0.07s | simulate | Running the war room... 20% of the worlds simulated |
| 0.11s | simulate | Running the war room... 30% of the worlds simulated |
| 0.12s | simulate | Match every cut: 100 versions played out. |
| 0.15s | simulate | Running the war room... 40% of the worlds simulated |
| 0.18s | simulate | Running the war room... 50% of the worlds simulated |
| 0.22s | simulate | Running the war room... 60% of the worlds simulated |
| 0.25s | simulate | Defensible niche: 100 versions played out. |
| 0.26s | simulate | Running the war room... 70% of the worlds simulated |
| 0.29s | simulate | Running the war room... 80% of the worlds simulated |
| 0.32s | simulate | Running the war room... 90% of the worlds simulated |
| 0.35s | simulate | Running the war room... 100% of the worlds simulated |
| 0.35s | simulate | Running the war room... 100% of the worlds simulated |
| 0.35s | simulate | Hold the line: 100 versions played out. |
| 0.35s | summarize | Scoring the three strategies against each other... |
| 0.36s | simulate | Testing how far the rival's undercut can move before the answer changes... |
| 1.16s | summarize | Not found between 0% and 40% - the recommendation does not change anywhere in that range. |
| 1.16s | summarize | Done. Defensible niche scores best on profit: $191.04M over 8 quarters. |